

6 COMMODITY CHANNEL INDEX

Commodity Channel Index is an oscillator that revolves around zero and indicates the direction and strength of the trend. It shows the change in trend and if the asset is in an oversold or overbought condition. CCI moves in an unbounded range, so it can take any positive or negative value. If the value is negative, we can say that the negative trend has been the more dominant one till now and it either still exists or has just reversed. A positive CCI value means that a positive trend exists in the market.

CCI is calculated mainly as a difference of the current closing price of an asset from its historical average price. A positive value means that the current price is higher than the historical average whereas a negative value means that the current value is lower than the historical average levels. We can take buy and sell decisions based on this.

However, unlike RSI, CCI does not have a fixed range in which it oscillates. As a result, we will have to figure out the levels at which the assets are overbought or oversold based on past price performances i.e at the levels where they have reverted from in the past. We will have to do this for every individual asset that we want to trade.

